

Celsius Holdings, Inc.

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REDUCE

Fair value (12-mo horizon reference)	\$23.00
Current price (October 2, 2026 close)	\$26.75
Implied upside / downside	-14%
Verdict	REDUCE

Investment Thesis

Celsius Holdings has assembled, by acquisition, the number-three energy-drink portfolio in America: roughly 21% of U.S. ready-to-drink energy dollar share across CELSIUS, Alani Nu, and Rockstar, behind only Red Bull and Monster. The Alani Nu deal - \$1.8 billion gross, closed April 2025 - looks genuinely inspired in hindsight: the brand did over \$1 billion of revenue in 2025, grew retail sales more than 100% in early 2026, and was bought for less than 2x sales. PepsiCo deepened its partnership with a \$585 million preferred investment taking its stake to about 11%, designated Celsius its strategic energy lead in the U.S., and handed over Rockstar's U.S. and Canada rights. Full-year 2025 revenue hit \$2.52 billion, up 85.5%, with adjusted EBITDA of \$619.6 million up 142%. The transformation from a single-brand growth story into a scaled energy platform is real, and the operating leverage is showing.

The problem is what the market is paying for the transformation, and what it is assuming about the parts. Strip out the acquisition math and the picture is a three-brand portfolio moving in three different directions: Alani Nu surging at roughly 9% share, the namesake CELSIUS brand growing retail sales at just 6-13% - the slowest horse in the stable - and Rockstar declining 9-13% and needing, by management's own framing, a 'stabilization year.' The second quarter of 2026 is the first quarter that fully laps the Alani Nu deal, which is why reported growth steps down from triple digits to roughly 20%: the rollup reveal. From here, Celsius must grow the way beverage companies actually grow - by selling more cans of the brands it owns, in categories where Red Bull and Monster do not yield shelf space willingly - while digesting integration costs that pushed Q4 2025 gross margin to 47.4% and a balance sheet carrying acquisition debt.

Our judgment is that the current price of \$26.75 capitalizes flawless execution of a multi-brand turnaround in the most competitive beverage category in America, and flawless is not the base case. On a probability-weighted scenario DCF - 10-year horizon, 12% base discount rate reflecting the speculative combination of acquisition integration risk, category concentration, and a still-unproven multi-brand playbook - fair value is \$23, about 14% below the price. The bear case, which sits below the price as required, is genuinely adverse: the CELSIUS brand stalls as better-for-you energy matures, Alani Nu's torrid growth normalizes faster than expected,

Rockstar's turnaround fails, promotional intensity compresses category margins, and the leverage from the deal spree constrains flexibility. We rate the stock REDUCE. Alani Nu was a great deal; the stock price assumes several more of them, already executed, already integrated, already paid for.

Business Overview

Celsius Holdings is a functional-beverage company built around the energy-drink category. The flagship CELSIUS brand pioneered 'better-for-you' energy - thermogenic, fitness-positioned, sugar-free formulations - and rode the health-and-wellness wave to become a top-five U.S. energy brand. Alani Nu, acquired in April 2025, is a female-skewing, flavor-innovation-driven brand with a powerful influencer-born community that has become the growth engine of the portfolio. Rockstar Energy's U.S. and Canada rights, acquired from PepsiCo in August 2025, add a legacy mainstream brand in decline that management must stabilize and reposition.

Distribution is the strategic moat, such as it is: PepsiCo is the company's distribution partner and, following the \$585 million preferred investment, an ~11% shareholder with a board nominee. Celsius is PepsiCo's designated energy category captain in the U.S., which means preferential shelf, cooler, and promotional treatment across the Pepsi bottler network - an enormous structural advantage for a company that spent its early years fighting for distribution. The combined portfolio held about 20.8% U.S. dollar share in the 13 weeks ended late September 2025. First-quarter 2026 revenue was \$782.6 million, up 138% year over year, with \$747.3 million in North America and international up 55% albeit from a small base.

The financial shape is that of a rollup in mid-integration. Full-year 2025 gross margin was 50.4% but the fourth quarter dipped to 47.4% on integration costs and tariffs; management guides a recovery to the low-50s across 2026, paced to the second half. GAAP earnings are obscured by one-time items - \$327.5 million of distributor termination fees to move Alani Nu into PepsiCo's network (economically real, paid once) plus acquisition costs - while adjusted EBITDA of \$619.6 million at a 24.6% margin shows the underlying cash engine. The company repurchased \$40 million of stock in late 2025 with \$260 million of authorization remaining, paid down about \$200 million of debt, and pays no dividend - capital priority is M&A; and buybacks.

Forward Outlook

Our forward view is that 2026-2027 is the prove-it period, and the burden of proof is heavier than the stock price suggests. The good news first: Alani Nu's momentum is real and durable enough to carry the portfolio's growth for the next two years, the PepsiCo distribution machine is still in the early innings of what it can do for shelf presence and in-store execution, and the \$50 million of integration synergies already captured show management can operate a multi-brand portfolio. International - the U.K., Australia, and other developed energy markets - is a genuine multi-billion-dollar whitespace where the better-for-you positioning travels well.

The concerns are structural, not quarterly. First, the namesake CELSIUS brand - still the majority of revenue - is growing retail sales at 6-13% while the category's growth concentrates in Alani Nu's flavor-innovation lane; a flagship growing at half the portfolio rate is a brand-health question, not a blip, and management's pivot to 'portfolio framing' when asked about cannibalization did not answer the question. Second, Rockstar is a turnaround inside a growth story, and turnarounds consume management attention disproportionately to their revenue. Third, the energy category is brutally promotional - Red Bull and Monster have deeper pockets and longer relationships - and Celsius's gross-margin recovery to the low-50s assumes a promotional environment that cooperates. Fourth, the balance sheet, while de-risking, still reflects a company that spent \$1.8 billion in eighteen months; the next acquisition cannot be funded as easily as the last ones were.

Our judgment on the trajectory: revenue compounds in the mid-teens as Alani Nu scales and international builds, but the margin path is bumpier than guidance implies and the multiple compresses as the market stops valuing Celsius as a single high-growth brand and starts valuing it as what it is - a mid-teens-growing beverage consolidator with a turnaround project attached. That re-rating is the core of our REDUCE thesis: the business can execute well and the stock can still fall, because the price was set for a different company than the one that now exists.

Valuation

We value Celsius on a probability-weighted scenario DCF over an explicit 10-year horizon, weighted 25% / 50% / 25%, with a 12% base discount rate - our speculative-tier rate, reflecting acquisition-integration risk, single-category concentration, the unproven multi-brand playbook, and balance-sheet leverage from the deal spree. The bear case adds 250bp, the bull case subtracts 150bp with an 8% floor. Terminal growth is capped at 2.5% on normalized mid-cycle margins, and terminal value exceeding 70% of enterprise value is haircut and disclosed.

The bear case, sitting below the current price, is genuinely adverse: CELSIUS brand growth stalls in the low-single digits as better-for-you energy matures, Alani Nu's growth normalizes to category rates faster than expected, the Rockstar turnaround fails and the brand becomes a stranded asset, promotional intensity compresses gross margins back toward the mid-40s, and leverage constrains strategic flexibility. The base case assumes Alani Nu compounds at high rates for several more years before normalizing, CELSIUS reaccelerates modestly on innovation (including the fizz-free platform), Rockstar stabilizes but does not return to growth, gross margins recover to the low-50s by 2027, and international becomes a meaningful contributor late in the decade. The bull case assumes the PepsiCo partnership delivers share gains beyond our base case, the portfolio takes sustained share from Red Bull and Monster, and Celsius becomes the acquirer of choice for emerging functional brands at accretive multiples.

The probability-weighted fair value is \$23.00, our target, against the October 2, 2026 close of \$26.75 - about 14% downside. The valuation says the Alani Nu deal, good as it was, is fully in the price - and the market is additionally paying for a Rockstar turnaround and a CELSIUS reacceleration that have not happened yet.

Key Risks

- Brand concentration in transition: the CELSIUS flagship is the slowest-growing brand in the portfolio; if its deceleration continues, the growth story narrows to a single brand.
- Alani Nu normalization: triple-digit retail growth cannot persist; the speed and shape of the deceleration is the single largest swing factor in the model.
- Rockstar turnaround failure: a declining legacy brand can consume management attention and trade spend disproportionate to its revenue contribution.
- Promotional intensity: Red Bull and Monster compete aggressively on price and placement; category promo pressure could derail the gross-margin recovery to the low-50s.
- PepsiCo dependence: distribution, category captaincy, and a major shareholding concentrate strategic risk in one partner whose priorities could shift.
- Leverage and M&A; hangover: the balance sheet still reflects \$1.8 billion of deal spending; further large acquisitions would strain flexibility.

- Valuation: the stock prices flawless multi-brand execution; any stumble reprices the growth multiple, not just the growth rate.

What Would Change Our Mind

- The CELSIUS brand reaccelerating to sustained double-digit retail growth on its own - not as a portfolio average - would retire our central brand-health concern.
- Rockstar returning to positive retail growth would prove the multi-brand turnaround playbook and raise through-cycle growth assumptions.
- Gross margins reaching and holding the low-50s on a clean (non-integration) basis would validate the earnings power the bull case assumes.
- A pullback toward \$18-19 on integration noise rather than brand deterioration would make the risk-reward positive and move us to HOLD or BUY.
- Conversely, evidence of CELSIUS-to-Alani Nu cannibalization in scanner data, or Alani Nu growth collapsing toward category rates within a year, would deepen the REDUCE thesis.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins - never peak margins - and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

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